Food and Agriculture Organization of the United Nations



YEMEN

MARKET AND TRADE

BULLETIN

FEBRUARY 2026

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KEY HIGHLIGHTS

SHORT-TERM OUTLOOK AND IMPLICATIONS ON FOOD SECURITY: Yemen's food security outlook remains extremely dire across all governorates, with severe conditions expected to persist through February 2026. These risks are amplified by regional instability, elevated global food prices, falling household incomes and localized access constraints that limit families' ability to obtain basic food. According to the latest IPC analysis, more than 18 million people—around half of Yemen's population—are expected to remain severely food insecure (IPC Phase 3 or above) through February 2026, with a high risk that this figure will persist or rise under mounting pressures. In Government-controlled (GoY) areas, recent central bank measures have temporarily strengthened the Yemeni riyal and eased food prices, but these improvements are fragile. In areas under the Sana'a-Based Authorities (SBA), the outlook is more concerning, with communities affected by declining rainfall, frosts, localized conflict, lower import volumes, wage declines and rapidly eroding purchasing power. Agricultural production prospects are average or below average, and a resumption humanitarian food assistance and broader sectoral support remains unlikely. Close monitoring of key drivers—food prices, policy and regulatory changes, port and import operations, climatic shocks (including frosts), conflict dynamics and wider regional crises, including spillover from the conflict in Iran and the broader Middle East—will be essential. FAO, in collaboration with partners, has recently completed an IPC analysis for SBA controlled areas; the analysis for GoY areas is planned for early April, with a joint IPC report expected in April 2026.

EXCHANGE RATES: Supported by CBY-Aden exchange controls and rising market confidence, the Yemeni Rial appreciated to an average of YER 1,578/USD in February 2026. This represents a 2% gain over January and a 45% improvement over February 2025 levels in GoY-controlled areas.

MINIMUM FOOD BASKET (MFB): In February 2026, the cost of the Minimum Food Basket (MFB) remained stable. While the cost was 22% lower than the previous year and 7% below the three-year average, food security remains a concern as irregular incomes continue to place many households under significant financial pressure.

FUEL PRICES: Fuel prices in areas controlled by the Government of Yemen (GoY) remained broadly stable throughout February 2026. While prices have decreased by 21–23% compared to the same period last year, they remain 4–12% above the three-year average, indicating that long-term costs are still elevated despite recent relief.

CASUAL LABOR WAGE RATES: In Government of Yemen (GoY) controlled areas, labor markets showed diverging trends in February 2026: casual labor wages declined by 9%, whereas agricultural wages saw a 4% increase. On a year-on-year basis, agricultural wages remain 8% higher than 2025 levels, while casual labor wages have fallen by 11% over the same period.

FOOD PRICES: Market prices for staple foods in Government of Yemen (GoY) controlled areas remained largely stable throughout February 2026, with the exception of a 5% uptick in wheat flour costs. On a year-on-year basis, prices have decreased by 19–31%, a trend primarily driven by the appreciation of the Yemeni Rial and reduced fuel expenses.

FOOD AND FUEL IMPORTS: In February 2026, wheat imports saw a sharp decline across both northern and southern ports. Meanwhile, fuel imports showed diverging trends: volumes through Ras Issa fell significantly due to reduced capacity following the 2025 airstrikes, whereas southern ports experienced an increase in fuel inflows compared to the previous month.

TERMS OF TRADE (ToT): Terms of Trade (ToT) remained relatively stable in February 2026, maintaining a position well above the previous year's levels. The livestock-to-cereal ToT was 25% higher than last year, while the casual labor-to-cereal ToT saw a 10% year-on-year increase. These favorable trends were driven by stable cereal and fuel prices, alongside the continued appreciation of the Yemeni Rial.

LIVESTOCK PRICES: Prices for goats and sheep remained relatively stable throughout February 2026. While current rates are 3–5% lower than the same period last year, they remain significantly elevated—sitting 21–24% above the three-year average. This indicates that while prices have cooled since 2025, they are still high by historical standards.

TABLE 1: COMMODITY PRICES AND PRICE CHANGES

		COMMODITY	Feb 2026 PRICE	M-o-M	Y-o-Y	3YA
GoY	FOOD	Minimum Food Basket	128,928	2%	-22%	-7%
		Imported Sunflower Oil - 1 L	3,178	0%	-20%	-3%
		Imported Kidney Beans (Grain) - 1 kg	2,736	-3%	-31%	-12%
		Basmati Rice - 1 kg	2,411	-2%	-19%	-2%
		Imported Wheat Flour - 1 kg	961	5%	-19%	-7%
		Thamad Fish - 1 kg	9,435	9%	-7%	6%
	Exchange Rates & Fuel	Unofficial Exchange Rate - Buying -	1,578	2%	45%	9%
		Diesel (Official) - 1 L	1,269	0%	-21%	-4%
		Petroleum (Official) - 1 L	1,019	1%	-23%	-12%
	Livestock	Local Goat Is 6 Months Old - average	155,872	-1%	-3%	24%
		Local Live Sheep - average 12 kg	145,151	0%	-5%	21%
	Labor	Agricultural Labor - Per day	13,381	4%	8%	21%
		Unskilled / Casual Labor - Per day	11,130	-9%	-11%	1%

Note on Tabel 1 price changes: m-o-m: % change from previous month; y-o-y: % change from the same month last year; 3YA: % change from the same month in 2022, 2023, & 2024.

Note on the dual exchange rate regime in Yemen:

There is a dual exchange rate regime in Yemen, governed separately by the authorities based in Sana'a (SBA) and those in Aden under the Government of Yemen (GoY). This division arose when the Central Bank in Aden initiated the printing of new currency notes from November 2019, a move rejected by the SBA who prohibited the use of these new notes in their controlled areas. Consequently, the Yemeni Rial faced significant depreciation against the US Dollar in GoY areas while remaining relatively stable and managed in SBA areas. The difference in exchange rates led to a noticeable disparity in food prices between the two areas, with prices escalating notably in GoY areas from November 2019, yet maintaining stability in SBA controlled areas. It is noteworthy to mention that although prices in GoY areas might appear to be 'twice as high as in SBA areas' in local currency. terms, the prices when converted to US dollars are nearly equivalent, and at times slightly higher in SBA areas.

MARKET UPDATE – FEBRUARY 2026

EXCHANGE RATES

Following a sharp recovery against the USD in August 2025, the Yemeni Rial (YER) in Government-controlled areas appreciated by an additional 2% in February 2026, averaging YER 1,578/USD. (see Table 1 and Fig. 1). This represents a 45% year-on-year increase in value. This continued stability is largely attributed to CBY-Aden's rigorous oversight, including stricter enforcement for exchange operators and tighter management of import-financing. These interventions, coupled with Saudi Arabia's budget-support announcement late in the month, have bolstered market confidence and curbed speculative demand for foreign currency.

FOOD AND FUEL IMPORTS

In February 2026, Yemen experienced a significant downturn in food inflows; wheat grain imports through northern ports plummeted by 58% month-on-month and 33% year-on-year. Similarly, southern ports saw wheat grain and flour imports decline by 38% compared to January and 25% compared to the previous year. Fuel logistics remained cracked: while southern ports (including Aden and Al Mukalla) saw a 20% monthly increase in fuel imports, Ras Issa recorded a 47% monthly drop. Imports generally adjust every quarter in response to the availability of buffer stocks – this is underscored by stable price levels. On a year-on-year basis, fuel volumes at Ras Issa have collapsed by 81%, a direct consequence of the 2025 airstrikes which severely constrained northern port capacity and operational efficiency. (see Fig. 7 & 8).

FUEL PRICES

Fuel prices in GoY-controlled areas remained broadly stable in February 2026. While costs have decreased by 21–23% compared to the same period last year, they remain 4–12% above the three-year average. This year-on-year decline is primarily attributed to the significant appreciation of the Yemeni Rial in August 2025. (see Table 1 & Fig. 6).

FOOD PRICES

In February 2026, staple food prices in Government-controlled areas remained largely stable, despite a marginal 5% increase in the price of wheat flour. While prices have dropped significantly (19–31%) compared to the previous year—driven by currency gains and lower fuel expenses—the outlook remains precarious. The high risk of renewed food price inflation continues to threaten a further deterioration of the humanitarian situation. (see Table 1 & Fig. 5).

MINIMUM FOOD BASKET (MFB)

In February 2026, the cost of the Minimum Food Basket (MFB) in GoY-controlled areas remained stable, consistent with broader food price trends. While the MFB cost was 22% lower than the previous year and 7% below the three-year average, accessibility remains a challenge. Approximately 35% of residents in these areas rely on irregular government salaries that have been significantly eroded by past inflation. (see Table 1 & Fig. 2 & Fig. 3).

LIVESTOCK PRICES

Livestock prices in GoY-controlled areas remained relatively stable throughout February 2026. While goats and sheep were 3–5% cheaper than the previous year, prices continue to track significantly higher (21–24%) than the three-year average. Constrained import capacity and prevailing market conditions are expected to sustain these elevated price levels in the near term. (see Table 1 & Fig. 9).

FISH

Prices for *Thamad* fish in GoY-controlled areas rose by 9% in February 2026. Despite this monthly increase, overall fish prices remain 7% lower than the previous year, though they continue to sit 6% above the three-year average. (see Table 1).

CASUAL LABOR WAGE RATES

In February 2026, labor markets in GoY-controlled areas showed diverging trends: casual labor wages declined by 9%, whereas agricultural wages rose by 4%. On a year-on-year basis, agricultural wages are 8% higher than in 2025, while casual labor wages have fallen by 11%. Currently, casual labor rates align closely with the three-year average, but agricultural wages remain significantly elevated at 21% above the long-term average. (see Table 1 & Fig. 9).

TERMS OF TRADE (TOT)

The livestock-to-cereal and casual labor-to-cereal Terms of Trade (ToT)—both critical indicators of household purchasing power—remained largely stable in GoY-controlled areas during February 2026. On an annual basis, the livestock-to-cereal ToT was 25% higher than in 2025 and 36% above the three-year average. Similarly, the casual labor-to-cereal ToT remained 10% above last year's levels and 8% above historical norms. While these favorable trends are supported by currency appreciation and stable commodity prices, a lack of job opportunities continues to weigh on the broader economic development and recovery. (see Figure 10).

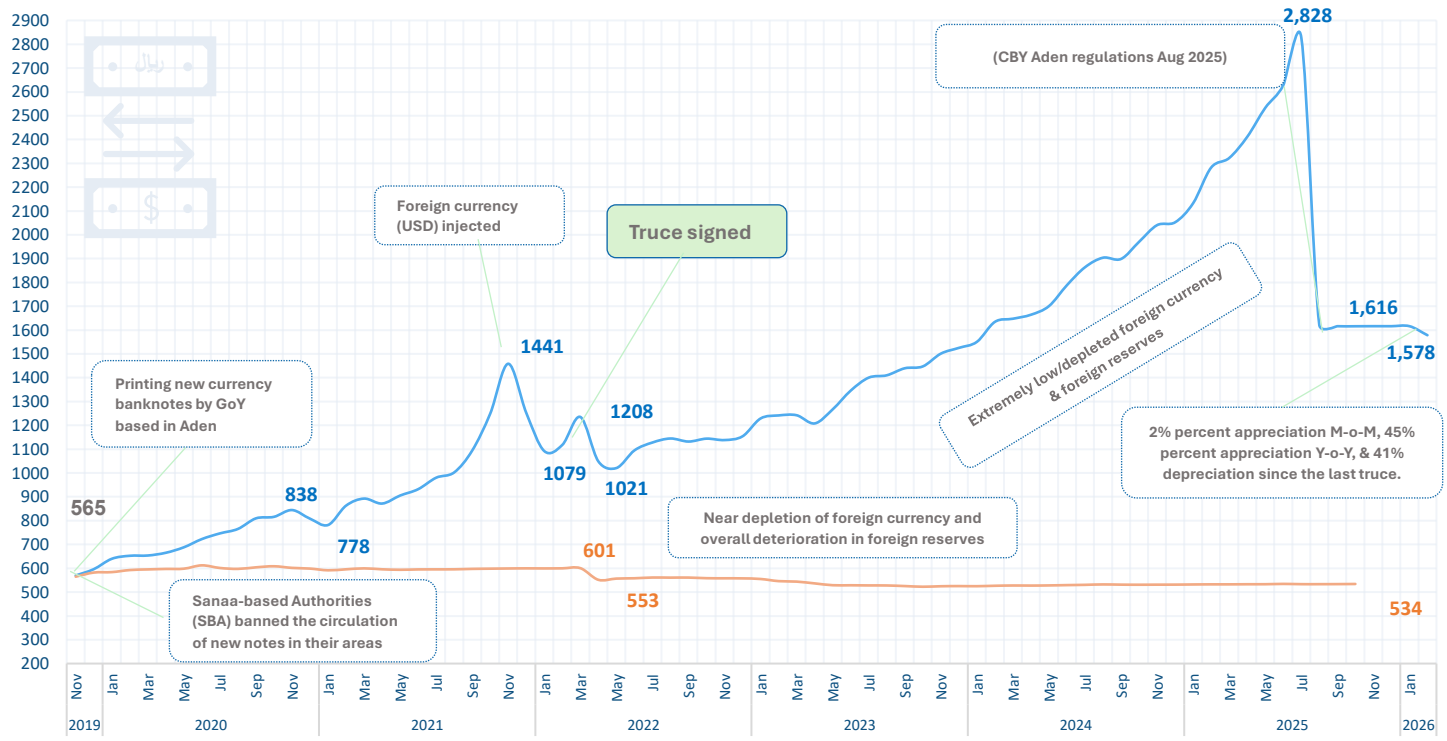
CONTEXT:

Yemen's food security landscape is being degraded by a convergence of overlapping interlocking vulnerabilities. In Government-of Yemen (GoY) controlled areas, persistent currency volatility keeps essential costs high and threatens commodity availability despite recent interventions. Conversely, in Sana'a-Based Authority (SBA) areas, stringent market controls and financial sector disruptions—exacerbated by sanctions on payments and remittances—serve as primary constraints. These systemic pressures are further intensified by the collapse of wages, rising insecurity, middle east crisis, a ban on wheat flour imports, and a reduction in humanitarian aid. While current milling and port infrastructure remains operational, the fragility of fuel supply chains poses a significant risk of further price inflation. Specifically, the volatility of northern fuel imports undermines market stability, pushing more households toward severe food insecurity.

FIGURES

EXCHANGE RATE

Figure 1: Exchange rate: Yemeni Rial (YER) to 1 US$



MINIMUM FOOD BASKET (MFB)

Figure 2: Minimum Food Basket (MFB) Price Trend (GoY and SBA)

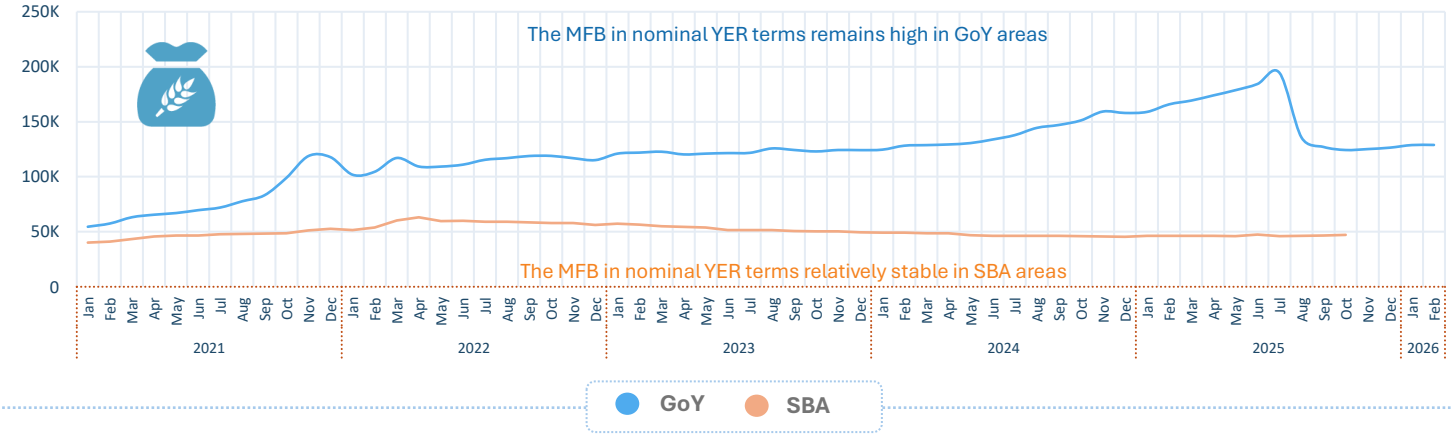


Figure 3: Minimum Food Basket (MFB) in USD Equivalent

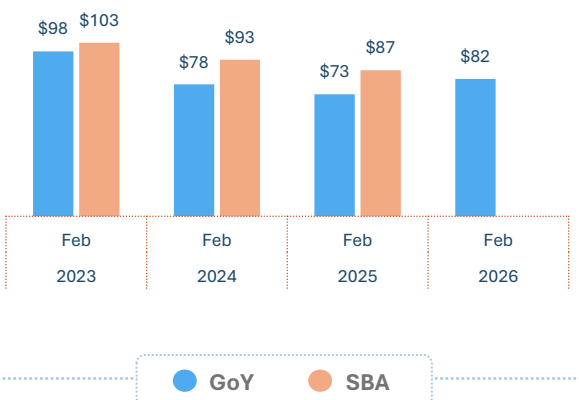
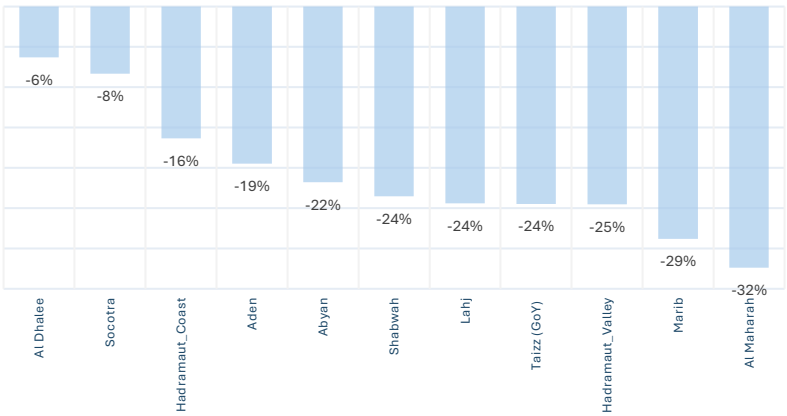


Figure 4: MFB in YER y-o-y change in February (2026 vs. 2025)

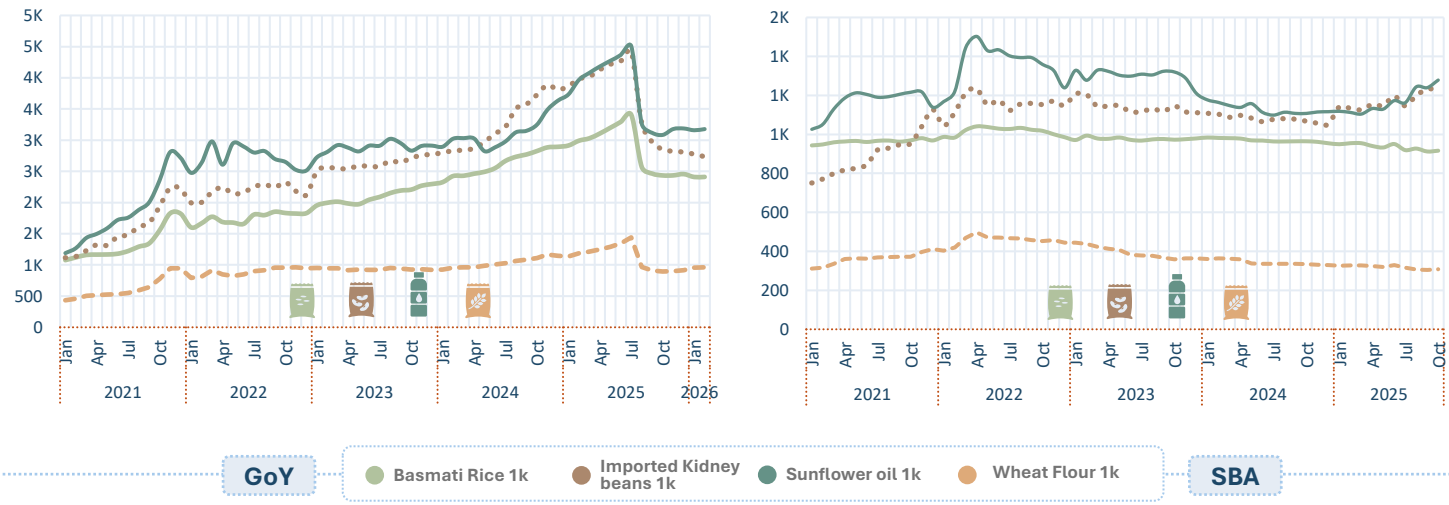


- *No prices were collected from Amanat Al Asimah, Sana'a, Al Hudaydah, Amran, Sa'adah, Dhamar, Al Bayda, Hajjah, Raymah, Ibb, and Al Mahwit, Taiz (SBA) in February 2025*

FIGURES

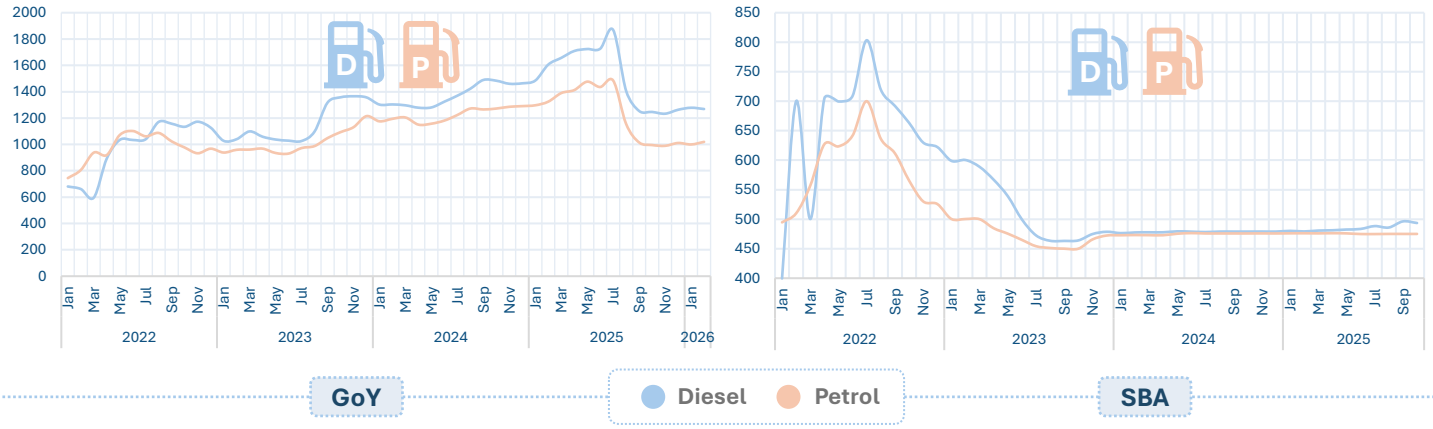
KEY FOOD COMMODITIES

Figure 5: Key Food Commodities Prices Trends



FUEL

Figure 6: Diesel and petrol price/ litre (YER) trends



FOOD AND FUEL IMPORTS

Figure 7: Wheat & Wheat Flour imports in Metric Tons

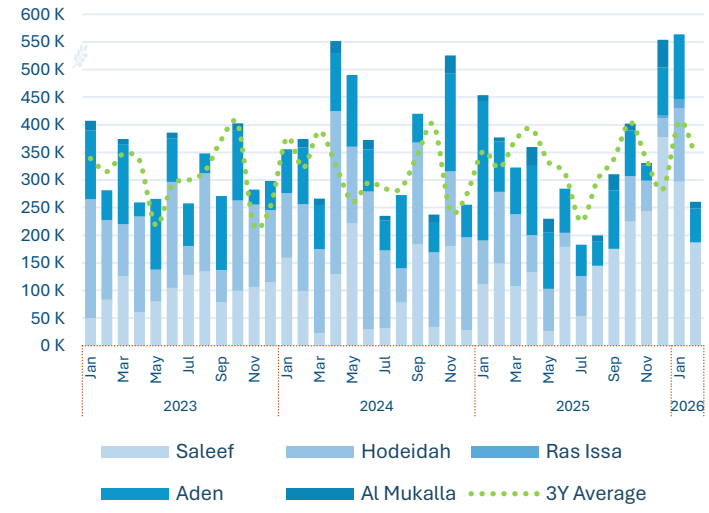
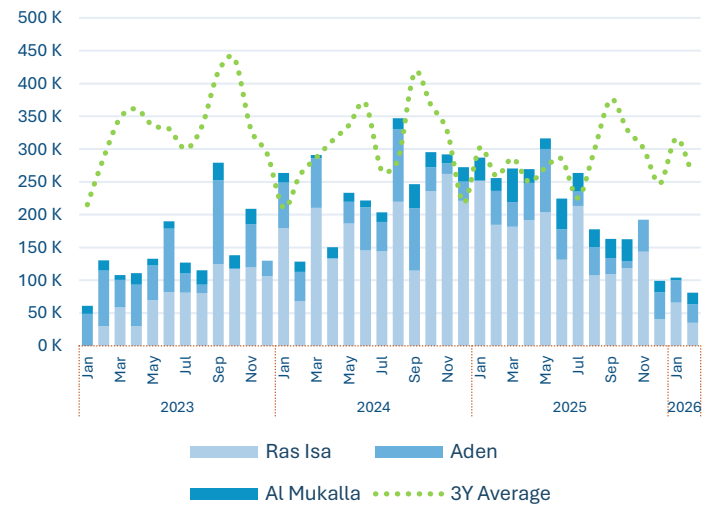


Figure 8: Fuel (Diesel & Petrol) imports in Metric Tons (MT)



FIGURES

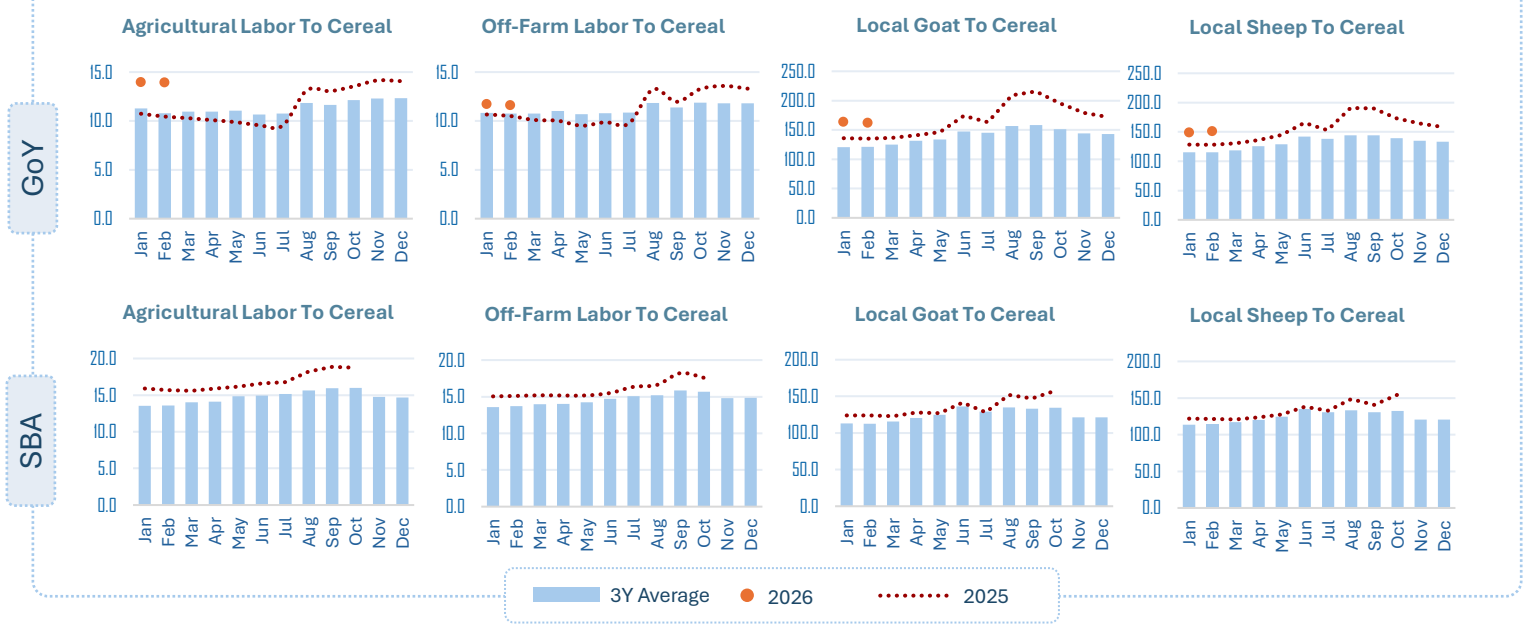
CASUAL LABOUR WAGES AND LIVESTOCK PRICES

Figure 9: Trends in daily casual labour wages and livestock prices in YER



TERMS OF TRADE (TOT)

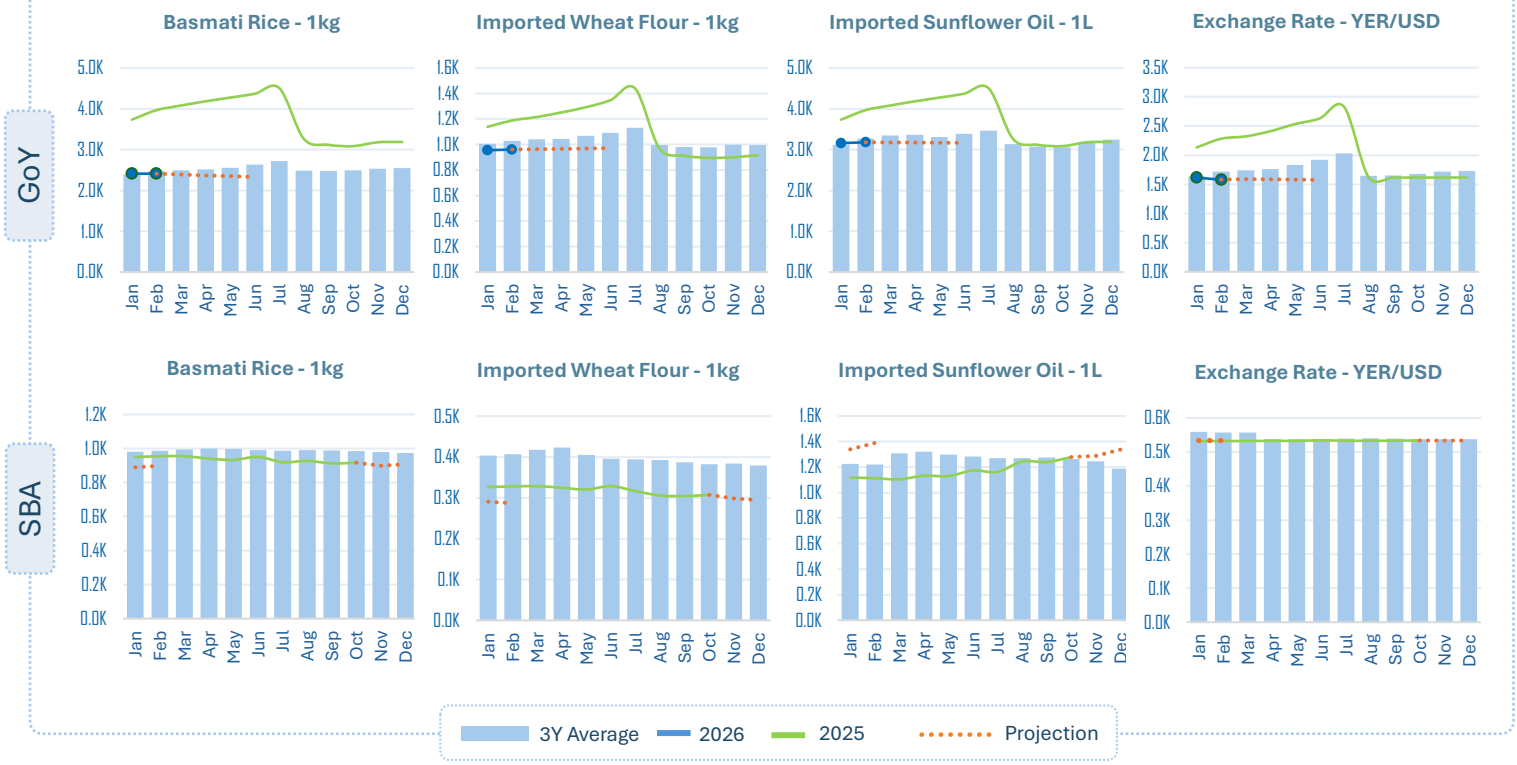
Figure 10: Trends in terms of trade – ToT



FIGURES

STAPLE FOOD COMMODITY PRICES & EXCHANGE RATE FORECASTS

Figure 11: Staple food commodity prices & Exchange Rate (YER) forecasts/ projections



This Monthly Market Monitoring Bulletin is a joint publication by the Yemen Food Security and Nutrition Information System (FSNIS) Programme of the Food and Agriculture Organization of the United Nations (FAO). It's produced in partnership with the Food Security Technical Secretariat (FSTS) of the Ministry of Planning and International Cooperation (MoPIC), with funding from the World Bank Group.

Market data and information are collected from twenty-two (22) governorates via the Governorate Focal Units (GFUs). Price data is gathered from at least three representative markets in the main cities and 3-4 markets in rural district areas (see accompanying map of market distribution). Retail prices are monitored and collected weekly from these markets in the following governorates: Abyan, Aden, Al Dhale'e, Al Bayda, Al Jawf, Dhamar, Hadramaut Coast (Al Mukalla), Hajjah, Al Hudaydah, Ibb, Lahj, Sana'a, Amanat Al Asimah (Sana'a City), Shabwah, Taizz, Al Mahrah, Amran, Raymah, Al Mahwit, Marib, Sa'ada, Socotra, as well as Hadramout Valley (Sayun), all through the GFUs.

FOOD SECURITY AND NUTRITION INFORMATION SYSTEM (FSNIS)

YEMEN

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